spurt of above-trend gains until a new, broader niche was fully occupied. But once the bow and arrow was widespread, the population probably stopped growing. We had squeezed all the juice we could out of that innovation.

The investment returns of the past 200 years actually may reflect this anomaly. That is, they may be the product of abnormal growth rates brought about by the introduction of fossil fuels. If so, investors may never again realize anything like the rates of return they enjoyed in recent history. It may also be that the prejudices investors developed—such as the bias toward the stock market over saving money in gold—may be the product of unusual circumstances, rather than the reflection of universal, eternal investment truths.

Does this mean, if true, that you should forget about investing altogether? Should you bury your talent in the ground, like the "wicked, lazy servant" of biblical fame?

Well, no. This analysis applies to the advanced, energy-burning economies of the developed world. There are many places where the "energy revolution" has not yet been fully exploited. There are huge parts of the world where modern economies do not yet exist. Again, more in the next chapter.

What this analysis suggests is that not only America but most of the developed countries are no longer a good place for your money. You might be able to get alpha. Here and there. But you probably won't get much out of beta. And it's beta that counts.

A FINAL THOUGHT . . .

Finally, here's another thing to keep in mind:

Anything that can't be explained in simple language in 15 minutes is not something you should invest in. The Jewish scholar Hillel was once asked to explain the Torah to a man standing on one leg (meaning someone who wasn't going to stand there for long). He said:

"That which you would not want done to yourself, do not do it to anyone else. All the rest is detail. . . ."